
Making money through the stock market can be broken into two main options: capital gains, which are suited for those interested in staying in the market for a long time, and dividends, for those who want to earn cash flow. Can't decide between the two? No worries, there's a flavour for that too: blended funds! At the end of the day, making money in the stock market is why you're here — so it's important to understand the different ways investors have been using it in their journey to financial freedom.

Actionable steps

1. Decide if you'd like to invest for FIRE, to retire early or for a lump sum for a goal.
2. Use an online FIRE calculator to work out the size of the investment portfolio you'd need in order to live on 4 per cent.
3. Decide if you'd prefer to be an investor for capital gains, dividends or a mixture.